Amazon.com, Inc. — Preliminary Investment Decision Memo

Ticker: AMZN

Valuation date: September 1, 2026

Status: Preliminary; financial model not fully validated

Investment Decision

The intended user is a buy-side investment committee considering whether to initiate a position in Amazon. The fund currently holds no Amazon shares. This analysis evaluates whether the company offers sufficient investment value as of September 1, 2026.

Provisional decision: WATCH / DEFER

The preliminary discounted cash flow analysis estimates Amazon's equity value below the reference market price. However, substantial uncertainty surrounding capital expenditures, AWS growth, terminal value, and valuation conventions makes an immediate investment recommendation premature.

Valuation Evidence

The preliminary interactive valuation model estimates:

- Base value per share: approximately $105
- Reference market price: $254.92
- Low sensitivity case: $66.00 per share
- High sensitivity case: $171.90 per share
- WACC: approximately 10.5%
- Terminal growth rate: 3.0%

These results are not fully comparable because the scenario scripts

and interactive engine use slightly different rounded assumptions.

The preliminary DCF estimate is substantially below the reference market price. This difference may reflect the market's expectations for stronger AWS growth, improved operating margins, lower future reinvestment requirements, or greater long-term free cash flow. However, the simplified forecasting assumptions and incomplete valuation reconciliations may also explain part of the gap. I therefore do not interpret this difference alone as conclusive evidence that Amazon is overvalued.

Comparable-Company Valuation

I selected Walmart, Microsoft, and Alphabet as preliminary comparison companies because they represent different parts of Amazon's business. Walmart provides a retail comparison, Microsoft provides cloud-computing exposure through Azure, and Alphabet provides cloud and advertising exposure.

| Company | EV/Revenue | P/E |

|---|---:|---:|

| Walmart | 1.19x | 38.07x |

| Microsoft | 11.12x | 27.82x |

| Alphabet | 8.87x | 16.78x |

The differences in these multiples reflect differences in business models, growth, profitability, and capital structure. Amazon operates across several industries, so no single company is a perfect comparison.

These multiples are preliminary because certain cash, debt, share-count, and earnings definitions still require reconciliation. I therefore use the peer comparison as supporting evidence rather than calculating a definitive valuation from the peer averages.

Source: Data/peer_valuation_results.csv and Data/peer_valuation_inputs.csv.

Key Investment Drivers

1. AWS revenue growth and operating profitability.

2. North American retail margins and efficiency improvements.

3. International profitability and operating leverage.

4. AI infrastructure investment and capital expenditures.

5. Conversion of operating earnings into sustainable free cash flow.

Reverse DCF

The preliminary reverse DCF indicates that uniformly scaled forecast FCFF would need to be approximately 2.42 times the base forecast to reproduce the reference share price.

This is an illustrative mathematical result, not an independently estimated operating forecast.

Principal Risks and Uncertainties

The largest unresolved issues include:

- Reconciliation of the September 1 valuation convention.
- Simplified remaining-2026 cash flow assumptions.
- Fully diluted shares and enterprise-to-equity bridge.
- Debt, lease, and nonoperating asset classifications.
- Terminal-period reinvestment and perpetual-growth assumptions.
- Business-driver-specific operating scenarios.

- Independent validation of the complete financial model.

Decision Reversal Triggers

The decision would be reconsidered if:

- Verified operating forecasts support materially higher sustainable free cash flow after capital expenditures.
- A consistent, reconciled valuation supports a meaningful margin of safety relative to the market price.
- Independent model verification identifies and resolves material differences in forecast accounting or valuation calculations.

Current Conclusion

WATCH / DEFER remains the provisional conclusion. Before presenting a final recommendation, the model requires independent verification, dated market inputs, complete valuation bridges, and a documented comparison with peer-based valuation evidence.